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# Watsonville Community Hospital - State awards $10.6M in emergency relief funds

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WATSONVILLE — Watsonville Community Hospital leaders announced Friday that the hospital had been awarded millions in emergency grant funds from the state of California, with turbulent financial winds already beginning to blow.

The hospital was provided $10.6 million through the Distressed Hospital Small Grant Program, created by Assembly Bill 108 authored by Assemblymember Jesse Gabriel, D-Encino. The bill established a one-time grant program of up to $25 million administered by the California Department of Health Care Access and Information, and is dedicated to nonprofit and public hospitals across the state experiencing immediate and significant money troubles. Struggling hospitals were required to apply for the funds.

Watsonville Community Hospital CEO Stephen Gray called the award “a crucial funding bridge

during a challenging financial period” and credited state Sen. John Laird, chair of the Senate Budget and Fiscal Review Committee, for helping to champion the bill.

“Here at (Watsonville Community Hospital), the funding will be used for operational expenses, including debt management, current salaries, and necessary supplies,” said Gray in a statement, adding that the funding windfall was “critically important to (the hospital) as we continue to navigate fiscal challenges brought on by funding delays and cutbacks at the federal level.”

He continued, “Watsonville Community Hospital’s dedication to the health and well-being of those we serve is the compass that guides every decision we make, and a focus on patient care remains our highest priority. We are grateful to the commitment of our healthcare team, the ongoing support of the Pajaro Valley community, and the unwavering advocacy Sen. Laird has provided.”

Laird said the award to Watsonville Community Hospital is welcome news not just to the hospital itself, but to the entire Pajaro Valley region.

“Watsonville Hospital is simply too important to this community to lose,” continued Laird in a statement. “This funding provides some much-needed breathing room while longer-term solutions continue to be developed.”

For more than a year, local government, nonprofit and healthcare leaders have been warning that large cuts and eligibility changes to social safety net programs contained within the federal spending bill H. R. 1 will cause major system disruptions and curtail access to vital resources. Emergency room hospitals are especially vulnerable, given that they are subject to federal mandates that require them to provide care regardless of insurance status.

Watsonville Community Hospital, which serves a large share of the county’s low-income patients and Medi-Cal beneficiaries, has been confronting financial challenges for years, but had been inching its way toward stability. Hospital leaders announced in 2025 that the bedrock South County healthcare facility was deficit spending less than $1 million after posting losses of $30 million in 2022, $13 million in 2023 and $800,000 in 2024. After the hospital’s private owners declared bankruptcy in 2021, a grassroots public fundraising effort pulled the hospital back from the brink of permanent closure and into public ownership by the Pajaro Valley Health Care District in 2022.

At a district Board of Directors meeting Wednesday, financial administrators reported that net revenue in April was

$12.7 million, down from $14.3 million in March and approximately $341,000 below budget.

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